EXECUTIVE SUMMARY

1. Introduction

The Municipality of Langgangan, now Sta. Praxedes, Cagayan was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P102,473,346.17, P13,489,731.46 and P88,983,614.71, with an increase of 0.63%, decrease of 27.21 % and increase of 6.82 %respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P56,790,223.57 and P50,620,918.71, which increased by 8.82% and 15.35% respectively from last year's figures.

Particulars	2018	2017	Increase(Decrease)	
			Amount	%
Financial Position				
Assets	102,473,346.17	101,835,234.43	638,111.74	0.63
Liabilities	13,489,731.46	18,531,164.50	(5,041,433.04)	(27.21)
Government Equity	88,983,614.71	83,304,069.93	5,679,544.78	6.82
Financial Performance				
Income	56,790,223.57	52,185,869.62	4,604,353.95	8.82
Expense	50,620,918.71	42,847,379.42	7,773539.29	18.14
Appropriations, Allotments and Obligation				
Appropriations	58,378,499.83	56,362,819.43	2,015,680.40	3.58
Allotments	58,378,499.83	56,362,819.43	2,015,680.40	3.58
Obligations	49,986,033.76	47,232,109.42	5,100,440.82	5.83

3. Independent Auditor's Report on the Financial Statements

We rendered a Modified Opinion on the fairness of the financial statements in view of the non-recognition of the 75% Local Road and Road Network System account as part of LGUs Property, Plant and Equipment (PPE) amounting to P69,537,220.42 which cast doubt as to the reliability and accuracy of the balances of the affected accounts. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said account.

4. Summary of Audit Observations and Recommendations

1. Investment property representing Markets account totaling to P1,461,199.39 has not been reclassified in the books of accounts contrary to the provisions of International Public Sector Accounting Standards (IPSAS) 16, (Investment Property) resulting in understatement of the Investment Property, Building account and overstatement of Markets account.

   We recommended that management, thru the Accounting Office, reclassify the Markets account to Investment Property, Building account to conform with IPSAS 16-Investment Property, for fair presentation of the financial statements.

2. Several programs, projects and activities funded under the 20% Development Fund (DF) amounting to P1,900,000.00 were not in conformity with the guidelines provided under DILG and DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017 for priority development projects

   We recommended that management refrain from the implementation of the identified programs, projects and activities which are not priority projects and do not directly support the Philippine Development Plan and Public Investment Program. The corresponding appropriation shall be substituted with high priority projects, programs and activities in accordance with Joint Memorandum Circular No. 2017-1 dated February 22, 2017 and which should be directly supportive of the 2017-2022 Philippine Development Plan and Public Investment Program.

3. The municipality paid wages amounting to P3,183,564.66 in hiring an average of sixty one (61) contract of service personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

   We recommend that management formulate Policy Guidelines in hiring contract of service employees, taking into consideration the necessity as to the reasonable number of contract of service employees to be assigned in different offices in order to avoid excessive manpower, work duplication and unnecessary expenditures for wages.

Ensure that the policy guidelines formulated would not, in any way, restrict the manpower requirements needed in the delivery of vital/essential services for the implementation of the various programs and activities of the municipality but promote optimum utilization of financial resources.

5. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	198,637.00	-	197,483.00	1,154.00	99.42%
Current Year	-	-	-	-	
Total	**198,637.00**	**-**	**197,483.00**	**1,154.00**	**99.42%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the sixteen (16) audit recommendations in the prior year's report, nine (9) were fully implemented, two (2) were partially implemented, and five (5) were not implemented as of the year ended.